During my research, I spent about three hours listening to the entire web cast of Level 3's 2001 annual meeting—including the rich question and answer session with Jim Crowe. I walked away with the highest regard for Crowe. He is a huge Buffett fan and shares Buffett's shareholder orientation. The 5,000 + employees of Level 3 only have outperformance stock options (OSOs), which kick in only if the stock outperforms the benchmark index.

The founder/chairman of Level 3 is Walter Scott Jr. Scott is on Berkshire Hathaway's board. Buffett and Scott have known each other for about 50 years. Scott's wife was Buffett's high school sweetheart. There's been a long connection between the two men. If there is a definition of integrity outside of Warren Buffett, it would be Walter Scott, Jr. The guy is incapable of lying. You can take whatever he says to the bank.

At one point in 2001, the convertible bonds went down to 18 cents on the dollar. When you looked at the Wall Street projections, even the most pessimistic ones showed them paying interest on the bonds for at least three years. With a 6 percent coupon and buying for 18 cents on the dollar, you'd get all your money back before the company ran out of cash. Even if the investor knew nothing about Walter Scott Jr., there was no downside to the situation. It was amazing that the bonds actually went down to that price.

Pabrai Funds invested 10 percent of assets in 2001 and 2002 in Level 3 senior bonds and convertibles. As it turned out, I had bought about a year before it was finally confirmed that Warren Buffett had also invested in Level 3 (*Barron's* was right). The current yield ranged from 20 percent to 30 percent, and the YTM ranged from 30 percent to over 40 percent.

In third quarter 2003, I completely exited out of the bonds. The bonds went up from 54 cents to 73 cents on the dollar. In addition, Pabrai Funds collected interest for all that time, more than a 20 percent current yield on interest. The average annualized gain was around 120 percent. Almost the entire gain got long-term capital gains treatment. Many of the bonds were sold after holding for exactly 366 days, in order to lock-in long-term gains and get preferential tax treatment.